

Eminent Domain

Eminent domain is the power of the government to take private land for public use. It's part of the Fifth Amendment to the Constitution which says that no person may be deprived of property "without due process of law; nor shall private property be taken for public use, without just compensation."

Taking

When the government does take away private property, it's called a taking. The clause we just mentioned in the Fifth Amendment is known as the Takings Clause.

A taking can occur under the power of eminent domain, but it also occurs when private property is regulated by a government authority to the detriment of the landowner. The courts have ruled that the regulation of private property that results in diminished use or value constitutes a "taking" when:

- It deprives the owner of all economically viable uses of the property
- The property owner can no longer get a reasonable return on the investment in the property.

Condemnation

When the government actually takes someone's property under eminent domain, it's called condemnation. The government appraises the condemned property and the owner of the property is then offered the appraised value as just compensation, which is a requirement of eminent domain. The owner can decline this amount and hire an attorney if it seems too low.

Inverse Condemnation

When the taking is regulatory in nature, or any time the government is physically occupying private property without the owner's consent, it's called inverse condemnation. The government hasn't initiated the taking under the power of eminent domain, and hasn't offered the owner just compensation for depriving that owner of the property or its value. In this case, the property owner must sue the government for compensation.

Kelo vs. the New London

Condemnation includes a requirement for public use, but the Supreme Court has interpreted "public use" broadly. The case that started it all took place in New London, Connecticut, where the city allowed a private company to take an entire neighborhood for private development. The property owners filed a lawsuit, and the case went all the way to the Supreme Court, and the property owners lost. In *Kelo vs. New London*, the Supreme Court ruled that cities can exercise the power of eminent domain to promote private economic development, stating that this results in an economic benefit to the public. Some people are concerned that this case will give municipalities license to take private homes to make developers rich or to provide a larger tax base for the city. Is that a fair concern? Only time will tell. Many states made changes to state eminent domain statutes that prohibited the use of eminent domain except to eliminate blight.